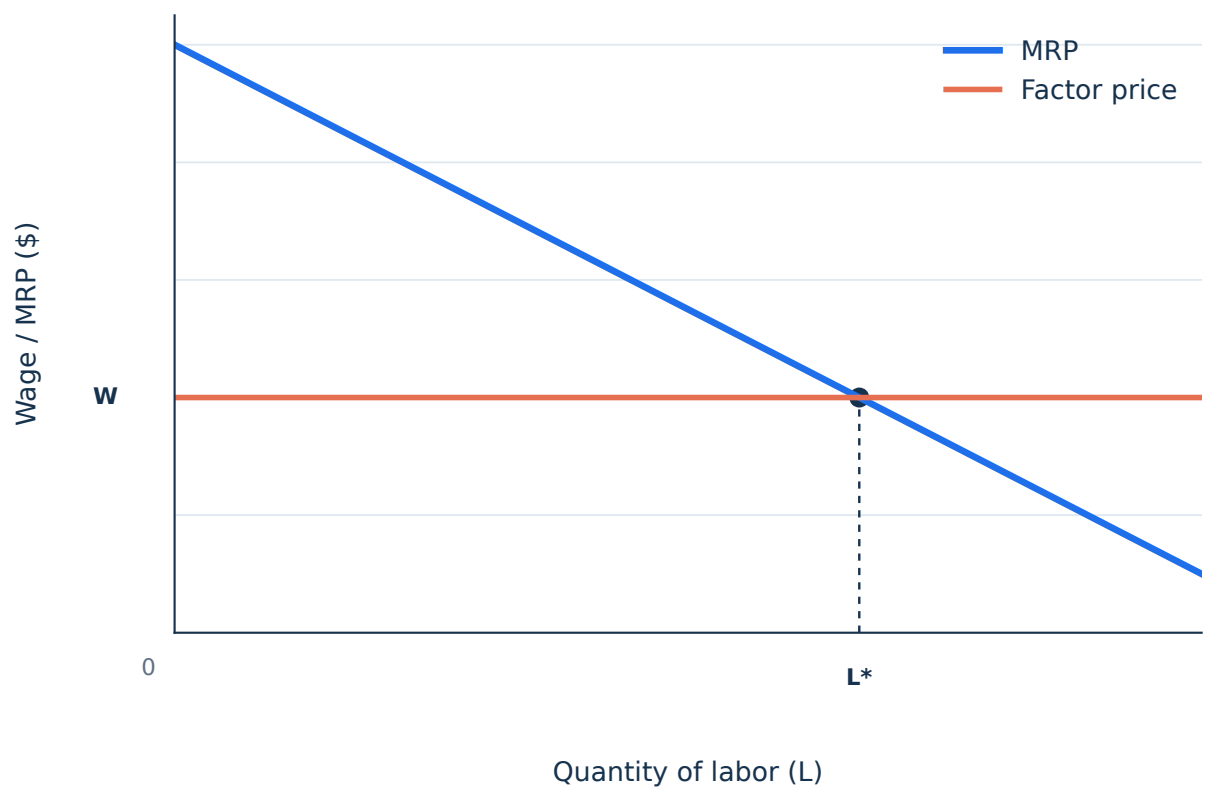
MRP
Factor price
Wage / MRP ($)
W
0
L*
Quantity of labor (L)